Paywall design

Week 3 Lecture 2 | B2C to $10k MRR

Autumn 2026

What we will cover

- Hard, soft, and metered paywalls: definitions and when each converts
- Placement: at signup, post-aha-moment, threshold-based
- Trial mechanics: length, what is gated, and why 82% of trial starts happen on install day
- Stripe vs RevenueCat vs App Store IAP: who handles what
- Refund policy as a growth tool

Three paywall types

Hard paywall

The user hits a paywall before using the core product. No free usage path.

- Highest conversion rate at day 35: **12.11%** (RevenueCat, 2025)
- Lowest top-of-funnel tolerance: users who bounce on the paywall are gone
- Best when: the aha-moment requires the paid feature, OR the free tier creates a permanent non-upgrader class

Example use: a mobile app that is entirely useless without an account and subscription.

Soft paywall

The user gets limited free usage, then hits the paywall at a natural stopping point.

- Lower conversion than hard, but higher trial start rate
- Placement must follow the aha-moment: too early = user has not seen value yet; too late = user has already decided not to pay
- Best when: the aha-moment can be demonstrated for free, and the upgrade is a logical continuation

The post-aha paywall is the most common design in B2C consumer apps.

Metered paywall

The user pays per unit: API calls, documents, exports, seats, storage.

- Conversion correlates with usage intensity: heavy users pay more, light users pay less or nothing
- LTV is harder to predict; very high-usage users generate disproportionate revenue
- Best when: usage varies 10x or more across users and the marginal cost scales with usage

Ramanujam and Tacke (Monetizing Innovation, 2016) call this "outcome-based pricing." The buyer only pays when they have already received the value.

Placement and trials

Where to put the paywall

Three canonical placements, in order of user warmth:

1. **At signup** (cold): maximum reach, minimum intent. High bounce. Use only with a generous free tier or no free tier at all.
2. **Post-aha-moment** (warm): user has experienced value; paywall is a continuation. Best conversion-to-intent ratio.
3. **Threshold-based** (hot): user has exceeded a limit (3 projects, 10 exports, 5 seats). They are already invested. Refusal to pay is an active decision, not a passive bounce.

Trial mechanics: what the data says

- **82% of trial starts happen on install day** (RevenueCat, 2025)
- Trial-to-paid conversion improves with longer trials: 45.7% for 17-32 day trials
- Shorter trials (under 7 days) push users to evaluate before they have experienced the product

Rule: length should match the time-to-value of your product. If a user needs 10 days of usage to feel the benefit, a 7-day trial is cutting the evaluation short.

7-day vs 14-day vs no-trial

7-day

- Works when time-to-value is 1-3 days
- Creates urgency
- High drop-off for products with slow value delivery

14-day

- Most common for B2C SaaS
- Aligns with two work weeks
- 45.7% trial-to-paid at 17-32 days suggests going longer is often worth it

No trial (hard paywall)

- 12.11% day-35 conversion

Payments infrastructure

Stripe vs RevenueCat vs App Store IAP

	Stripe	RevenueCat	App Store IAP
Platform	Web	Mobile (iOS/Android)	iOS/macOS App Store
Cut	2.9% + $0.30	1% of revenue	15-30%
Handles receipts	Yes	Yes (wraps IAP)	Yes
Subscription logic	You build	Built-in	Built-in
PPP discounts	Stripe Coupons	Limited	Limited

For web-first products: Stripe. For mobile-first: RevenueCat wrapping App Store IAP. Hybrid: both, with RevenueCat as the source of truth for entitlements.

Refund policy as a growth lever

A generous refund policy is not a cost center. It is a trust signal.

- A no-questions-asked 30-day refund removes the last objection before checkout
- Users who refund were not your customers; users who stayed after requesting a refund become your best advocates
- Paddle / ProfitWell research: founders who price with confidence and back it with a refund policy face fewer chargebacks than those who price low and offer no guarantee

State your refund policy on the paywall screen, not buried in the terms. "Try free for 14 days. Cancel anytime. No questions asked."

Take-aways

1. Hard paywalls convert at 12.11%, soft lower, but conversion rate is not the only variable. Fit the paywall to the aha-moment, not to the benchmark.
2. Place the paywall after the aha-moment. A paywall that precedes value is a wall; one that follows value is an invitation.
3. 82% of trial starts happen on install day. Optimize the first session before optimizing trial length.
4. RevenueCat wraps App Store IAP for mobile; Stripe handles web. Run both if your product is cross-platform.
5. A generous refund policy lowers checkout friction without increasing actual refund volume.

> "Pricing is the most important aspect of your business. Yet most founders spend less than five hours total on their pricing strategy."
>
> Patrick Campbell, Paddle / ProfitWell Pricing Strategy Guide, 2022

What is next

- **Reading:** Week 3 reading at `/c/b2c-10k-mrr-26au/readings/wk03` (all nine pricing concepts introduced this week)
- **Section:** Write your 1-page pricing brief, critique two peers, commit to one change
- **Assignment HW2:** Pricing + paywall: brief, live paywall, and first $1 MRR (or written diagnosis)